



MARKETING LABS · STRATEGY & GROWTH

Ansoff Growth Strategy Matrix

Explore growth beyond doing more of the same.

Interactive Ansoff Growth Strategy Matrix for planning market penetration, market development, product development and diversification.

Includes: framework reference · guidance by Growth strategy · printable worksheet

Ansoff Growth Strategy Matrix: reference

INTERACTIVE ANSOFF-MATRIX PROTOTYPE

The Ansoff matrix structures growth choices around two questions: are you working with existing or new products, and existing or new markets? Use it to generate and evaluate strategic options across penetration, market development, product development and diversification.

Risk generally increases as unfamiliarity increases—but the matrix is not a risk score. Assess customer demand, strategic fit, capability, economics, delivery capacity, competition, regulation and ethical implications before committing resources. “New” must be defined for your specific organisation and target market.

Growth strategy map

Select a quadrant to inspect its initiative, target market, evidence and risk boundary.

Options mapped

Known product + known market

Known product + new market

New product + known market

New product + new market

EXISTING PRODUCTS

NEW PRODUCTS

PORTFOLIO COVERAGE

All four options are mapped. The priority is not to pursue all of them: compare evidence, strategic fit, timing, capability and risk.

LEARNING DESIGN

Every option has an evidence-and-test plan. Set success measures, decision thresholds and an explicit learning review before scaling.

RISK MANAGEMENT

Using the Ansoff matrix well

- Define “existing” and “new” explicitly. A new country, channel, customer segment, use case, feature or business model may carry very different levels of novelty and risk.
- Start with the customer problem, not the quadrant. Growth is valuable only if it creates relevant value for a clearly defined audience and can be delivered responsibly.
- Use market penetration beyond promotion: improve retention, onboarding, accessibility, product quality, distribution, pricing clarity and customer success where appropriate.
- Test market development with local or segment-specific research. Do not assume a proposition, message, channel or operating model transfers unchanged.
- For product development and diversification, use staged investment: discovery, prototype, pilot, evaluation and then measured scaling.
- Review second-order effects: cannibalisation, service demand, data protection, supply constraints, emissions, customer harm, staff workload and mission drift.

Guidance by Growth strategy

Market Penetration

Market Penetration risk prompt: Usually the most familiar option, but saturation, rising acquisition cost, customer fatigue and discount dependence can still undermine value.

Market Development

Market Development risk prompt: The product may be proven, but the market context, customer needs, regulation, language, channel economics and trust signals may be unfamiliar.

Product Development

Product Development risk prompt: Customer familiarity does not guarantee demand. Test desirability, feasibility, viability, cannibalisation and the cost to support the new offer.

Diversification

Diversification risk prompt: This combines unfamiliar product and market assumptions. It can create options, but usually requires the strongest governance, capability and financial discipline.

Ansoff Growth Strategy Matrix: your canvas

Print this page or fill it in by hand. The interactive lab asks the same questions.

Business, product portfolio or proposition

For example: Product line, service business or strategic initiative

Growth strategy

☐ Market Penetration ☐ Market Development ☐ Product Development ☐ Diversification

Initiative or growth hypothesis

Describe a specific action rather than a broad ambition.

Target market or customer group

Who is the customer, segment, use case, geography, channel or need?

Evidence and test

What evidence supports the option, and what low-risk experiment could validate it?

Key risk, dependency or boundary

Name the most consequential uncertainty, trade-off or ethical boundary.

Planning aid, not advice. Test assumptions with evidence and consider privacy, accessibility, fairness and sustainability before acting.